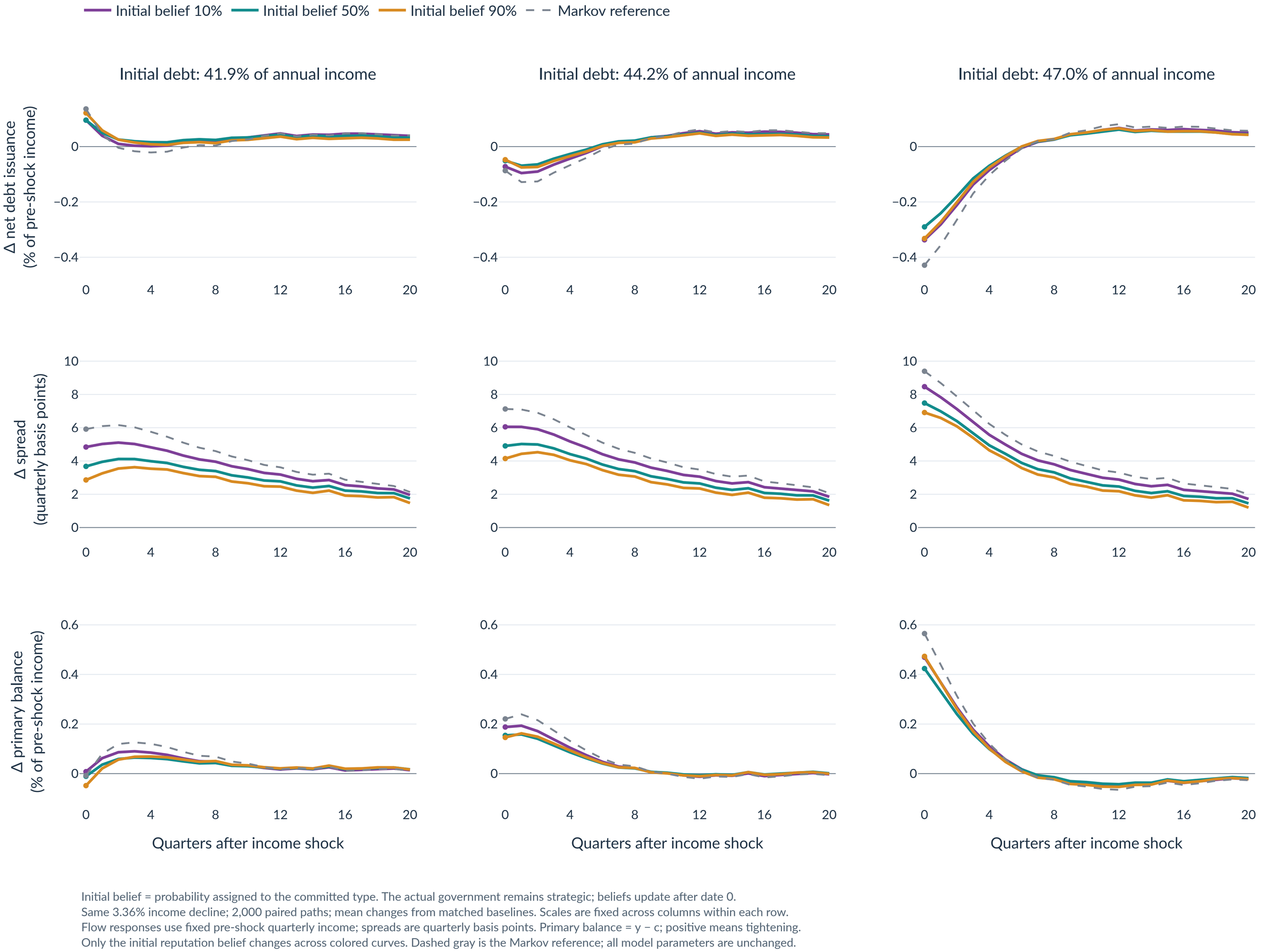
How initial reputation changes the response to the same income shock



Initial belief = probability assigned to the committed type. The actual government remains strategic; beliefs update after date 0.
Same 3.36% income decline; 2,000 paired paths; mean changes from matched baselines. Scales are fixed across columns within each row.
Flow responses use fixed pre-shock quarterly income; spreads are quarterly basis points. Primary balance = y − c; positive means tightening.
Only the initial reputation belief changes across colored curves. Dashed gray is the Markov reference; all model parameters are unchanged.